CSR and Founder Legacy Dynamics around Succession: An Intertemporal Choice Perspective[1]

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ABSTRACT

There is much debate as to whether family firms are socially responsible; we believe the question can be informed by changes that occur in managerial priorities across the length of their careers. Drawing on behavioral theories of intertemporal choice, we argue that temporal discounting causes CSR to vary systematically across three succession stages: successor identification, power sharing, and founder exit. CSR related to founder legacy increases when founders identify successors because its socioemotional benefits then become more near-term and salient; subsequently, however, it declines as successors gain influence during power sharing with the founder, and further after founder exit because for successors CSR's legacy, payoffs are more temporally remote and thus more discounted. Evidence from 2,072 listed Chinese family firms supports this multi-stage process, especially among older and first-born founders, and among younger heirs, heirs with shorter tenures, and heirs without children. By viewing legacy concerns through an intertemporal choice lens, we show them to be time-contingent – shaping CSR differently across succession stages and thereby helping reconcile prior findings.

KEYWORDS: Family firms, CSR, Legacy, Intertemporal choice

Introduction

Over 120 articles have examined family firm contributions to corporate social responsibility (CSR) (see reviews by Mariani et al., 2023; Stock et al., 2024). Some suggest that families prioritize CSR because it elevates the ethical reputation and thus longevity of the firm (e.g. Berrone & Gomez-Mejia., 2009; Cennamo et al., 2012; Dou et al., 2019; Randerson, 2022); others maintain that family control diminishes CSR (e.g. Dick et al., 2021; Miroshnychenko et al., 2022). Conflicting findings also arise regarding the relationship between *succession* and CSR, with some studies finding succession to enhance CSR (e.g. Guo, 2022; Stubner & Jarchow, 2023; Zhang et al., 2022) and others discovering that it erodes it (Hsu & Chen, 2024), with findings also varying by CEO age and family status (Amore et al., 2021; Meier & Schier, 2021), firm size (Stubner & Jarchow, 2023) and performance (Chiu & Sharfman, 2018). Unfortunately, most of these studies view succession *as a discrete event*, *not the dynamic multi-stage process that it is*, with CSR preferences varying over time and between incumbent and successor. This omission not only contributes to these empirical contradictions, it reflects a theoretical shortcoming: a focus on identifying CSR motives without evaluating *when* those motives become most salient as leadership and its transitions unfold. That neglected transitional process is our focus.

Based on intertemporal choice theory (Frederick et al., 2002; Loewenstein, 1992), we argue that one source of disagreement in the above literature is the different socioemotional utilities of CSR for family firm founders versus heirs due to their disparate temporal discounting of legacy pre- and post-succession. The family firm and its reputation may serve as primary ethical legacies that a business founder hopes to pass on to family successors – specifically, a business with a good reputation among stakeholders that will support offspring, aid in firm longevity, and be a credit to the founder's contributions. CSR can enhance that legacy and its socioemotional utility to the founder (Fox et al., 2010, 2024; Radu-Lefebvre et al., 2024). But that utility depends on how soon

it is to be received (Wade-Benzoni, 1999). As with the time discounted value of economic assets, the perceived value of legacy-related socioemotional benefits will vary according to when they will be realized (Frederick et al., 2002; Loewenstein, 1992). Thus, as founders near retirement and the imminent transfer of leadership to their heirs, the socioemotional benefits of legacy are near at hand, and thus subject to little temporal discounting (Loewenstein & Thaler, 1989). By contrast, heirs taking over the firm will be many years away from retirement; for them any legacy-related benefits from CSR will be temporally discounted, and of less socioemotional value to them. Heirs also may not know who will be taking over the business decades hence, further reducing its value as an interpersonal legacy. Moreover, newly appointed successors must attend to learning how to manage the firm, ongoing business challenges, and catering to the current needs of their young families. In short, if CSR is a means of enhancing the legacy value of a family firm to its owners (Fox et al., 2010, Fox et al., 2024), then it will be seen as more valuable to founders approaching succession, and less so for those just taking over.

To examine these differences, we divide the period surrounding succession into three stages. First, founders getting ready to pass on the business will begin to think about their legacy to the next generation and the community (Manelli et al., 2023; Radu-Lefebvre et al., 2024), and view CSR as a way of enhancing that (Fox et al., 2010). Although earlier in their careers founders may think little about legacy given its temporal remoteness (Dick et al., 2021; Frederick et al., 2002), as the time comes to consider succession, notions of generativity and firm reputation become more salient (Fox et al., 2024; Hammond et al., 2016; Jaskiewicz et al., 2015). Because positive relationships with employees, customers, shareholders and the community are key aspects of a legacy to a successor (Hammond et al., 2016); a founder may increase CSR after designating

an heir successor, typically a son or daughter (Bergfeld & Bergfeld, 2023; Dorsch et al., 2023; Strike et al., 2015; Tucker, 2011).

After that successor becomes CEO and shares managerial responsibility with the founder, legacy becomes less of a priority. During this power-sharing stage, founder legacy concerns may be tempered by a successor's more immediate priorities, and the latter viewing legacy as temporally distant issue with discounted socioemotional utility (Loewenstein, 1992). As a result, we expect CSR levels to be lower than in the previous stage, but higher than in periods with no succession in view and legacy concerns have yet to become significant.

Lastly, in the final stage, when the founder exits the business and the successor assumes full control, CSR levels are likely to decline further, reverting to those observed before a successor was designated. With founders no longer present, concerns which had enhanced CSR will have less influence. For the successor, legacy is a more temporally distant and thus less relevant concern (see Figures 1 and 2).

To examine these transformations, we take advantage of the Chinese context which had undergone a large-scale societal transition whereby most heirs were born during the one-child policy era, and the family firm is often viewed as an intended long-term legacy of the founder, potentially intensifying a clash of temporal horizons between founder generations and their offspring with more immediate economic and familial concerns (Randerson et al., 2020). Thus, this era of rapid, large-scale generational shifts represents both a useful context in which to explore our model as well as an important boundary condition of our study, with implications for the examination of international comparisons.

Our research makes several contributions. First, we leverage the behavioral theory of intertemporal choice (Frederick et al., 2002; Loewenstein, 1992) to model legacy-related founder

influences on CSR. Whereas the literature has distinguished among the priorities of founder versus later generations of family firm leaders (Lumpkin & Brigham, 2011), we explore dynamic transitions in CSR priorities *within* founder tenures and as leadership is transferred to successors. We argue and find that the "present bias" of retiring founders enhances the legacy value of CSR, while the temporal remoteness of legacy discounts its value for young successors (Frederick et al., 2002).

Second, we explore changing family firm behavior during the succession process. Whereas succession has been analyzed as a discrete event, we study it as a dynamic multi-staged phenomenon in which management is transferred in stages from founder to family successor, with implications for altering CSR. Family business transitions often involve a prolonged power-sharing stage, during which the founder and successor jointly make decisions and manage the business – a dynamic that distinguishes family business successions from other leadership transitions. This phased approach uniquely shapes CSR priorities, offering new insights into succession dynamics and demonstrating how family firm CSR differs before, during, and after succession.

In the balance of the paper, we first review the literature on family firm CSR before arguing how it may be advanced by temporal contrasts in the importance of legacy for founders and heirs surrounding succession. We develop a model of how priorities change during and after succession as influence shifts from founder to successor. We then test that model and propose conditioning factors relating to founder and successor characteristics. Methods, findings, and discussions follow.

A Conflicting Literature

The literature on family firm CSR and the relationships between CSR and succession is often conflicting. We believe that this is in part because studies are static and view firms at a point

in time, treating succession as a discrete event rather than a dynamic multi-stage process that it is (Le Breton-Miller et al., 2004). Thus some studies find that family firms invest in CSR to ensure stakeholder support (e.g. Cennamo et al., 2012; Manelli et al., 2023; Stubner & Jarchow, 2023). Others, however, note that family members drawn from a restricted talent pool spend less on discretionary CSR (e.g. El Ghoul et al., 2016; Medioli et al., 2024; Randerson, 2022). Still others find that generational attitudes towards CSR diverge, but again there are disagreements (compare Dawson et al., 2020 and Delmas & Gergaud, 2014 to Dick et al., 2021 and Richards et al., 2017; also see the review by Stock et al., 2024).

Studies on the relationship between succession and CSR also disagree, with some finding it to enhance CSR (e.g. Guo, 2022; Stubner & Jarchow, 2023; Zhang et al., 2022) and others discovering an inverse correlation (Hsu & Chen, 2024), with findings altering by the age and family status of CEOs (Amore et al., 2021; Meier & Schier, 2021), firm size (Stubner & Jarchow, 2023) and CSR performance (Chiu & Sharfman, 2018). Again, all these studies view succession *as a discrete event*, *not the dynamic multi-stage process that it is*, with CSR priorities and utilities varying over time and between incumbent and successor. Thus, in adopting an intertemporal choice perspective (Frederick et al., 2002; Loewenstein, 1992), we propose that a key source of these disparate findings is that the socioemotional utility of CSR increases as founders begin to view their firm as a soon to be realized legacy, which then decreases as far younger heirs take the helm and for whom legacy is temporally remote and thus of discounted socioemotional utility.

A Shift in Founder Priorities

As they approach succession, founders come to a fuller realization that they soon will be leaving their business to a next generation, causing many to think about legacy (Fox et al., 2024; Hammond et al., 2016; Kotlar & De Massis, 2013). Fox et al. (2024: 2) define legacy as "an

enduring meaning, attached to the identity of an individual actor, that is typically apparent in actions intended to have an impact that lasts after the actor is gone, or in the lasting impact it has on the cognitions, emotions, and behaviors of those who remain". Thus a founder's legacy may be expressed through multiple facets of the firm: as an intended economic, social, and reputational endowment[2] left to offspring, relatives, or other valued parties (Hammond et al., 2016; Radu-Lefebvre et al., 2024).

According to Erik Erikson (1982), pre-retirement is a period of generativity, when thoughts turn to what one is leaving behind for loved ones and others. With the prospect of succession, many founders begin to prepare for the future by building a legacy in the form of a robust, respected business that will serve the family and community for decades to come (Fox et al., 2024). Such legacy motivations often prioritize continuity and thus firm economic, social, and reputational resilience (Jaskiewicz et al., 2015; LeCounte, 2022). Indeed, legacy in the form of a firm with excellent relationships with stakeholders and the community may become a priority as leaders contemplate passing on the business to a family successor (Hammond et al., 2016; Radu-Lefebvre et al., 2024). That legacy may be enhanced by CSR to bolster the durability of the enterprise and assure its good graces among those who must support it into the future (Berrone et al., 2009; Cennamo et al., 2012; Fox et al., 2010; Manelli et al., 2023).

Socioemotional Benefits of Legacy: Legator-founders can receive socioemotional benefits from the passing on the family business (Berrone & Gomez-Mejia, 2009). First, there is the pride they take in passing on a reputable business *they* have created. Second, there is their satisfaction in anticipating that the business will support loved ones in the future, serving as a reminder of the

[2] Although these facets are conceptually distinct, our mechanism does not require modeling them separately because they are activated by a common generativity/transition driver and therefore tend to become jointly more salient as founders approach succession.

founder and his or her contribution (Fox et al., 2024). Third, there is a sense of having fulfilled an identity-confirming moral obligation to cherished stakeholders who are felt to be worthy and deserving of a legacy (Radu-Lefebvre et al., 2024). This is in part a function of personal connections and loyalties built up over time, as well as familial attachments of affection (Fox et al., 2024; Hammond et al., 2016; Radu-Lefebvre et al., 2024). Finally, there is satisfaction in having addressed some perceived vulnerabilities of legatees in attempting to provide support for them for years to come (Erikson, 1982).

Temporality: Behavioral choice theory suggests that the socioemotional benefits from legacy will increase as the *time to provide the legacy diminishes and those benefits become near at hand* (Loewenstein & Thaler, 1989) – its rewards are more valued because they are to be realized quickly. This can happen as thoughts of approaching retirement (and perhaps mortality) cause leaders to think of their enterprise as a testament to their contribution and identity and a sustaining asset for their family after they retire. Founders will also have had the time to become emotionally close to family members who will benefit from the legacy, again enhancing its socioemotional value to them (Frederick et al., 2002). By contrast, when leaving a legacy is far into the future, its value is discounted accordingly, thereby serving as less of a behavioral motivator. That will be true, for example, for successors early in their careers and a long way from retirement.

CSR as Legacy: As noted, CSR is one vehicle for creating and bestowing legacy, especially social and reputational legacy (Fox et al., 2010; 2024; Radu-Lefebvre et al., 2024), and it can take several forms. First is the superior treatment of employees whose goodwill, effort, and motivation are needed to secure the future of the business and thus help a successor do well. Treatment can be via good salaries and benefits, training and mentorship, and superior working conditions. Second is the beneficent treatment of the broader community, including customers, suppliers, local

residents, and shareholders, all potential sources of long-term support for the business and family (Hammond et al., 2016; Wade-Benzoni, 1999). Third is good governance of the business through effective board and shareholder engagement, transparency, and monitoring to ensure firm legitimacy, social responsibility, and longevity and support from public shareholders when a business is passed on to an offspring family top executive. These forms can contribute to the reputation, stakeholder support, and resilience of an enterprise (Miller & Le Breton-Miller, 2005) and constitute the three classic pillars of CSR – environmental, social and governance, typically designated as "ESG" (Billio et al., 2021; Gillan et al., 2021). CSR can also yield nearer-term instrumental benefits (e.g., reputational capital and stakeholder support) that successors value. Our intertemporal argument, however, focuses on the *incremental*, discretionary CSR driven by legacy-related socioemotional utility – an incentive that intensifies for founders as succession nears but becomes less salient once founder influence recedes and heirs discount distant legacy payoffs.

If passing on a business with a good reputation and stakeholder support is important to a founder's legacy (Fox et al., 2010; 2024), then CSR will increase as his or her legacy concerns grow. As noted, this will happen as retirement approaches and the utility of legacy increases due to its temporal proximity (Frederick et al., 2002). In other words, whereas earlier in founders' careers concerns are with survival, profitability, or operating success, as they approach retirement, legacy becomes more important, for example, via legacy-building CSR initiatives to enhance reputation among stakeholders.

The socioemotional benefits of legacy are likely to be smaller for heirs just taking over a business than for founders about to leave it. According to intertemporal choice theory, benefits far into the future and thus uncertain have less perceived value than those at hand (Frederick et al.,

2002; Loewenstein, 1992). That will be true for family firm heirs many years from retirement. Indeed, since succession is far off, heirs may not view the business as a legacy, know its prospects of success, or know if family members will remain to run the business. Moreover, the heirs have not built the business or run it for long and so it may be less tied to their identity, diminishing its value as a legacy (Radu-Lefebvre et al., 2024). Finally, these heirs have younger families and a business to learn to run, and likely will be more concerned with these issues than what they may leave behind decades hence (Chang et al., 2021; Gersick et al., 1997). Instead, successors will prioritize learning the business and proving themselves with operating results; or adapting the business to their own objectives or a transformed environment. These differences in the perceived socioemotional benefits of legacy between retiring founders and new successors may be one of the reasons for the contrasting findings on family firm CSR (Campopiano & De Massis, 2015; Mariani et al., 2023).

Succession Dynamics and Intertemporal Legacy Considerations: A Three Step Model

Whereas other studies treat succession as a discrete event (Amore et al., 2021; Bennedsen et al., 2007), we follow Lansberg (1999) and Le Breton-Miller et al. (2004) and treat it as a dynamic multistage sequential process during which shifts in influence between a founder and successor occur, and therefore also shifts in the socioemotional value of legacy-related CSR. We thus expect that this is a period during which investment in CSR will first rise then fall due to the growing legacy motivations of the founder planning for the end of his or her career, followed by the decreasing value of CSR-related legacy and more immediate operating and family concerns of young successors much earlier in their careers. We define succession stages according to the following events. First is the identification and appointment of a potential successor by promoting a later generation family member to an upper management position, often as chief operating officer

reporting directly to the CEO, typically the founder (Stage 1): the founder is in power and begins to plan his or her legacy. Second is the promotion of the successor to chief executive while the founder remains as Chairperson (Stage 2) sharing power and influence with the successor – and often, therefore, a period of compromise in priorities for the family and the business. Third is the departure of the founder from the business (Post-Succession Stage or Stage 3), when the successor is fully in power and whose priorities now dominate.

The appointment of a family member to a top management operating position will crystallize in a founder's consciousness that a specific family member is soon to be taking over the business. This event makes clear and poignant the need to prepare for departure and put the firm and one's legacy in good shape for heirs and the firm to thrive (LeCounte, 2022; Manelli et al., 2023). In other words, the appointment of an heir apparent is a signal to reinforce the business as a robust founder legacy and to enhance its soon-to-be-reaped, and thus more valued, socioemotional benefits (Fox et al., 2024; Loewenstein, 1992; Radu-Lefebvre et al., 2024). Investing in CSR is a way to engage stakeholder support to ensure that, and the founder can help to determine that.

The second stage in the succession happens when a family successor takes on the chief executive position while the founder remains as the active Chairperson, often with final say over key decisions (Lansberg, 1999). This is a period of power sharing between the founder and the heir successor and often one of conflict and compromise in their priorities for the business (Kellermanns & Eddleston, 2004). Because retirement is more temporally remote for the successor, any socioemotional benefits from legacy will be less than those for the founder (Loewenstein, 1992; Wade-Benzoni, 2006). As the agenda for the business will be shaped by the temporal perspectives of both parties, the influence of founder legacy priorities will decline and the more

immediate priorities of the successor just starting to take over the business will increase. That compromise can result in less emphasis on CSR than when the founder dominated.

The third stage is when the founder leaves the company and no longer plays an active role in its management or oversight. At that point, the priorities of the successor take over, the concern with legacy is apt to be even less central or timely (Fox et al., 2010), and therefore CSR may fall back to levels before it was boosted just prior to succession.

Hypotheses

In developing our hypotheses on the impact of succession on CSR, we take care to distinguish among the stages of succession above, and subsequently introduce moderating temporal and familial attributes.

Founder Legacy Through CSR

As noted, the imminent succession of a founder in a family business can bring forth thoughts of legacy – something to leave the successor and the family after the founder departs (Hammond et al., 2016; Manelli et al., 2023; Radu-Lefebvre et al., 2024). This can prioritize passing on a robust business to the heir, one that is reputationally sound because it provides economic, social, and emotional support for stakeholders. CSR can aid such robustness, enhancing the goodwill and loyalty of employees and shareholders towards the company and its next generation, and creating beneficial links with the community (Ahn, 2018). CSR also can enhance the reputation of the founder, further increasing these socioemotional benefits. In short, we expect that the prospect of imminent succession will manifest in the augmented socioemotional legacy-value of CSR given its temporal proximity.

The question arises as to just *when* the issue of legacy becomes salient in the mind of the founder. We believe this will happen around the time a specific family member is appointed to a

significant management position. Generally, this occurs in family firms as the founder becomes older and contemplates forthcoming retirement (Ahn, 2018). This is when it becomes clearer that this family member is soon to take over the business, and so the issue of family legacy as well as its socioemotional benefits become especially focal to the founder (Frederick et al., 2002; Loewenstein, 1992). Before that, a founder may still believe that the business could be sold or that a non-family member will take over; but once a specific familial heir apparent is promoted to senior management, typically, to a top operating position, a founder's legacy concerns and focus may grow, and with them greater attention to CSR (Fox et al., 2010; 2024).

We do not expect a significant boost in CSR to happen when there are no other family members in the business or where they only perform low-level jobs. The latter positions do not imply that the business will ultimately be passed on to those family members or when in the future. It is when a successor becomes a top-level executive and thus most likely to be heir apparent that founder legacy concerns will become most poignant and imminent and enhance CSR.

Hypothesis 1: Founder-run family firms will demonstrate an increased level of CSR after the appointment of an heir apparent family member to a top management position.

Once a successor has been appointed to the very top executive position, typically as CEO, power will have to be shared between that person and a still-present founder Chairperson. Indeed, potentially conflicting priorities between founder and successor as they share management responsibilities may cause successor priorities to begin to have an impact, potentially moderating and offsetting founder legacy motivations. As noted, successors tend to be less concerned with leaving a legacy as that is far into the future, which discounts its socioemotional utility (Frederick et al., 2002; Loewenstein, 1992). Of greater importance to these heirs are more immediate needs of the family and learning their jobs (Wade-Benzoni et al., 2010). They thus are less willing to

expend substantial resources on CSR initiatives. Therefore, the sharing of power between founder and successor will reduce CSR after Stage 1.

Hypothesis 2: Compared to the first stage when the founder has absolute power, in the power sharing stage, family firm CSR will fall after the appointment of a family member to the top executive position while the founder remains as Chairperson.

Finally, upon the departure of the founder from the business, the priorities of the successor will become dominant, further shedding firm legacy concerns due to temporal discounting and therefore restricting time horizons, stakeholder orientations, and hence the motivation to enact higher levels of CSR. We acknowledge that successors may still pursue CSR for nearer-term instrumental reasons (e.g., reputation, stakeholder relations, or risk management). However, because these motives are less tied to the time-to-legacy mechanism that drives founders' late-career CSR increases, our focus is on the incremental, legacy-motivated component of CSR that should diminish as successors gain influence.

Hypothesis 3: The positive effects of founder-legacy concerns on CSR will vanish after the founder has left the firm and the family successor is in control.

Temporal and Familial Moderators

We discuss two classes of moderators – temporal and familial. The former include founder age, and successor age and tenure; the latter include familial moderators: being a founder who is first born and has daughters, and a successor having children, all strengthening legacy concerns and the prioritization of CSR (see Figure 2).

Temporal Moderators

Founder Age: Pre-succession, founder concerns over firm stewardship and what is to be bequeathed to those who follow will increase with age (Fox et al., 2024). Indeed, age is a primary

motivator of legacy building and generativity (Erikson, 1982; Slater, 2003). Thus, as founders age, their intertemporal decisions increasingly value and prioritize the legacy of their firms and its imminent socioemotional benefits (Frederick et al., 2002). This motivates increases in CSR investment to enhance firm reputation and sustainability and leave a better world for generations to come. The average founder age is 53 in the full sample, compared to 62 in the subsample of firms with identified successors.

Successor Age: Post succession, the decline in CSR will be less steep when a successor is older and has had a *longer tenure* in the firm, thus CSR-related legacy benefits being less subject to temporal discounting (Loewenstein, 1992). Long-tenures also will have created closer interpersonal bonds with stakeholders such as employees and the community, thus enhancing the desire to treat them well (Fox et al., 2010). Also, as noted, the age of a person will correlate positively with legacy concerns and its socioemotional rewards. By contrast, younger successors with little experience in the company will be less devoted to long-term CSR issues and be motivated to address more immediate business and family issues.

*Hypothesis 4: The relationship between the appointment of an heir-apparent to top management and CSR levels will be stronger pre-succession for firms whose **founders** a) are older; and post succession for **successors** who b) are older, and c) have longer tenures.*

Familial Moderators

The importance of legacy will depend on how much personal responsibility one accepts in building it for the family, how much one wishes to look after family members, and their perceived vulnerability. These contingencies are in part reflected in whether a founder who built the legacy is first born and thus has a stronger sense of responsibility for family members (Campbell et al.,

2019), or has a daughter heir who may be at a potential disadvantage in running a Chinese family firm (Homroy, 2023). Legacy concerns also will be more important to successors with children.

First born: Compared to non-first-born founders, those who are first-born are more likely to prioritize leaving a legacy. First born family members are said to be more likely to take on the role of looking after their siblings and on average are more responsible in taking care of other family members (Campbell et al., 2019). Indeed, Campbell et al. (2019) maintain that first born CEOs have more of an interpersonal custodial orientation. First born founders are therefore more likely to be stewards of the family and its business – and thus prioritize a healthy reputable firm as a legacy to care for the family in the future (Bettinelli et al., 2014). Promoting CSR is a way to achieve that (Fox et al., 2010). As the retirement clock starts ticking, first-born founders may exhibit heightened involvement in ensuring the firm's long-term reputation and sustainability.

Having Daughter as Heir: Having successors who may be at some disadvantage when they take over the business also can enhance a founder's prioritization of passing on a healthy firm with ample stakeholder support. In many cultures, women are at such a disadvantage in garnering respect for their managerial and professional abilities, especially in male-dominated business environments (Cooke, 2005; Wu et al., 2024). Indeed, research has shown that the birth of a *daughter* renders CEOs more likely to be socially responsible (Cronqvist & Yu, 2017; Homroy, 2023). Thus, the legacy incentive is stronger for CEOs with daughter successors who may invest more in CSR to bequeath a strong business with a good reputation and stakeholder support.

Successors with Children: When a successor *has children,* concern with legacy and thus firm robustness will be more important as ultimately there may be a loved one to whom to leave the business – someone emotionally close for whom one feels responsible (Fox et al., 2010; Radu-Lefebvre et al., 2024; Wade-Benzoni, 2006). Thus, although retirement may be far off, CSR may

be more substantial than for successors without children and for whom legacy is less of a concern. Thus, having children will decrease the drop in CSR expenditures in the post-succession period, making the change from founder policies less significant.

Hypothesis 5: Pre-succession, the relationship between the appointment of an heir apparent to top management and CSR levels will be stronger for firms whose ***founders*** *a) are first born, and b) have daughters as successors, after a family successor has been appointed as a top manager. c) Post succession that relationship will also be stronger for* ***successor heirs*** *who have children.*

Methods

Sample

Our sample consists of all family firms traded on the Shanghai and Shenzhen stock exchanges in China from 2009 to 2018. China is a particularly compelling context for studying transitions from firm founders to successors due to several unique factors: Most Chinese family firms were established after the economic reforms of the 1980s, making these businesses relatively young and predominantly first-generation. In such firms, many founders have created the business themselves, wield significant power, and are deeply attached to the company, making the passing on of their legacy a key concern. This dynamic is distinct from that in developed markets like the U.S. and Europe, with multigenerational firms and established governance structures. In China, by contrast, family firms are still in the process of building firms and their legacy from the ground up. Another distinguishing feature of the Chinese context is the influence of the one-child policy. Many successors were born during this policy era, leaving many family firms with only one viable offspring successor – a challenge in succession and ensuring a future for the family in the business.

Because so many Chinese family-owned enterprises are currently undergoing succession, studying this process and its implications for firm conduct has become especially important.

To construct the sample, we began with all publicly traded Chinese non-state-owned firms; we collected information on their ownership structure from the China Stock Market & Accounting (CSMAR) database. Following Miller and Le Breton-Miller (2011) and Cannella et al. (2015), we define a firm as a family firm if 1) its ultimate major owner is an individual or a family; and 2) this party controls at least 20% of the voting rights, calculated as aggregated control rights of ownership (Claessens et al., 2000; Cruz et al., 2014; Faccio & Lang, 2002; Meier & Schier, 2021). To ensure robustness, we use alternative definitions requiring 10%, 30%, or 50% of family voting rights. Note that, despite the cultural differences between China and Western countries, the core succession challenges and behavioral patterns of family firms remain similar. Consequently, family firms in China are defined in ways that closely parallel those in the West (Pan et al., 2018; Xu et al., 2024). We also find in our sample that the majority of successions (about 74%) are from fathers to sons, consistent with European evidence (Bloom & Van Reenen, 2007; Calabrò et al., 2018).

For each family firm we manually collect founder and successor information every year from its prospectus and annual reports. We use these sources because in China, IPO firms are required in their prospectuses to disclose detailed background information on the founder and her relatives (Yu et al., 2019). Listed firms are also required to disclose their ultimate controllers and any pyramidal structure in their annual reports (Cai et al., 2012). Where this information was unavailable from those sources, we collected founder and successor-related information from company homepages, media reports, biographies, and *Baidu* (the largest internet search engine in China). Finally, we cross-checked these different sources to ensure accuracy.

We measure a firm's social responsibility with its ESG performance based on Huazheng ESG data[3]. Huazheng is a leading ESG data provider in China that evaluates a firm's challenges, efforts, and performance in sustainability and corporate social responsibility. According to the Huazheng data manual, all public Chinese firms listed on the Shanghai and Shenzhen stock exchanges are evaluated for their ESG performance on a quarterly basis starting from 2009. The ESG ratings are based on 3 pillars, 16 categories, 44 themes, and more than 300 data points, which resemble those used by international ESG data providers such as Thomson Reuters/Refinitiv. Compared to other ESG data providers in China (WIND, Bloomberg, and SynTao Green Finance), Huazheng data has the fullest coverage during our sample period[4]. ESG performance is assessed using the comprehensive ESG score, which ranges from 0 to 100 and is published quarterly by Huazheng[5]. To obtain annual ESG scores, we calculate the average of the quarterly scores for each firm.

We also collected financial information and other firm characteristics from the CSMAR database. Firms with missing founder information, financial data, and ESG data were dropped, as were those acquired rather than established. Our final sample consists of 9,968 firm-year observations and 2,072 unique firms.

Variables

[3] CSR and ESG are theoretically different, but empirical measures of CSR often overlap with ESG. In a recent review, Gillan et al. (2021) treat ESG and CSR as interchangeable.

[4] In China, prominent ESG evaluation frameworks include the Huazheng (Sino-Securities Information Service) ESG rating, Wind ESG rating, FTSE Russell ESG rating, and Susallwave ESG rating. Wind covers all A-share firms starting in 2018, FTSE Russell evaluates 800 A-share firms also from 2018, and Susallwave focuses on CSI 800 Index firms starting in 2014. Huazheng stands out by covering all A-share firms with the longest evaluation period starting in 2009. Bloomberg's ESG rating is available but assesses disclosure levels rather than performance (Long et al., 2024). Huazheng ESG is the preferred choice in prior studies (e.g. Jiang et al., 2022; Li et al., 2022) and is uniquely suited for this study, as its coverage aligns with the 2009–2018 sample period.

[5] Huazheng calculates comprehensive ESG scores by weighting different indicators and adjusting for industry differences to ensure comparability across industries.

Succession Status and Stages: We define the succession status and stages of a family firm based on the successor's role in the firm. When a non-founder family member, related to the founder by birth, marriage, or adoption, is promoted to a key position (such as vice CEO, director, and vice chairperson of the board) for the first time, we define this family member as a successor and the firm as entering the first (identification) stage of the succession process. *Successor Stage 1* equals 1 for years that the firm is in the identification stage, and 0 otherwise. When the successor is promoted to the highest position such as the chief manager (equivalent to the CEO) but the founder remains in the business (often as an influential Chairperson), the firm enters the second stage (power sharing) of the succession process. We define this stage as *Successor Stage 2.* We also refer to both *Successor Stage 1* and *Successor Stage 2* as the pre-succession stage, because in both stages the founder remains in power. The *Successor* dummy equals 1 for firms that have a successor identified in the pre-succession stage, and 0 otherwise.

Finally, when the successor remains in the top position and the founder leaves, the firm enters the third stage and the succession process is complete. We define Stage 3 as the post-succession stage because the founder is no longer with the firm. *Post Succession* is a dummy variable that equals 1 for family firms in this stage, and 0 otherwise.

Temporal and Familial Moderators: We argued that the aspirations of founders and successors to build legacy depend on the temporal and familial factors impacting the importance of legacy. Hence, we include the following variables in our analysis. For temporal factors, we define *Founder Age* as the natural logarithm of the age of the founder. *Successor Age* is the natural logarithm of the age of the successor. *Successor Tenure* measures the number of years since the successor started working in the firm. For familial factors, we define *Founder 1st born* as a dummy variable that equals 1 if the founder is the first child in his/her family, and 0 otherwise. *Son (Daughter)*

Successor is a dummy variable that identifies whether the successor is the son (daughter) of the founder. *Successor Kids* is a dummy variable that equals 1 if the successor has his/her own children, and 0 otherwise.

Other Control Variables: We include the following firm-level characteristics as control variables that are potentially important influences on ESG. *Firm Size* is the natural logarithm of the total assets of the firm; we control for size because larger firms are likely to have more resources to make ESG investmentsDrempetic et al., 2020. The ability to invest in ESG also depends on a firm's financial performance and cash flows (Campbell, 2007). As such, we control for *ROA* (the ratio of net income to total assets), *Cash Flow* (the ratio of cash from operations to total assets), *Leverage* (the ratio of total liabilities to total assets), *Firm Growth Rate* (the change ratio in sales year-on-year), and *Market to Book* ratio (the ratio of market value of equity to book value of equity). Roberts (1992) noted that corporate social responsibility decisions might be driven by the age of a firm and hence we control for *Firm Age*, defined as the natural logarithm of one plus the number of years since the firm was established. We also include controls for corporate governance, as previous studies (e.g. Jo and Harjoto, 2012) document a significant role of corporate governance in influencing corporate social responsibility engagement. *Dual* is a dummy variable that equals 1 when a CEO holds both the CEO and Chairperson of the board roles, and 0 otherwise. *Independent Board* is the ratio of independent directors to the total number of directors. We also control for family control rights (*Family Control%)* because Labelle et al. (2018) document that family control influences family firm's corporate social responsibilities. Finally, we control for *CEO Age* (logarithm of the age of the CEO) and *CEO Gender* (dummy variable equaling 1 when a CEO is male, and 0 otherwise) because previous studies have shown that CEO age and gender are

associated with a proclivity towards corporate social responsibility (e.g. Fabrizi et al., 2014) [6]. Our results remain robust after accounting for other CEO characteristics.

Estimation Technique

To examine Hypotheses 1 through 3 regarding how firm ESG performance changes as firms approach succession, we employ the following regression techniques for our baseline analyses:

$$ESG_{i,t} = \alpha_1 + \beta_1 X_{i,t} + Controls + YEAR\ FE + FIRM\ FE + \varepsilon_{i,t} \quad (1)$$

where $X_{i,t}$ denotes the various metrics for succession status or stage (*Successor*, *Successor Stage1*, *Successor Stage2*, and *Post Succession*). The control variables are those outlined in the Variables section above. We include year fixed effects to account for the time trend in ESG performance shared by all firms. Also, because our interest is to compare the ESG performance *within* the firm when the firm goes through different transition stages, we include firm fixed effects in all our regressions[7]. Standard errors are clustered at the firm level to address within-firm correlation of errors over time. Hypotheses 1 to 3 propose the coefficient of *Successor* to be significantly positive,

[6] We do not control for successor and founder characteristics in main regressions due to concerns of multicollinearity. In our dataset, 35.4% of the sample firms have founders serving as CEOs; 10.5% have the successor in the CEO position; 49.1% are led by professional CEOs; and the remaining 5% have CEOs as other family members, such as first-generation relatives who are not designated successors.

[7] Because our research focuses on how ESG changes across different stages of the succession in a given firm, we care about the within firm variation, not the cross-firm variation in our analysis. Within firm comparison is important given our context because although many firms do appear to follow the three cycles in the succession life cycle trajectory, not all firms have gone through all stages of the succession cycle in order; and due to time limitations, not all firms have gone through the three stages by the end of our sample period. For firms that have started the succession process in our sample, out of the 667 firms that do not have a successor at the beginning of our sample, 439 or 66% moved to Stage 1 and identified a successor; 195 or 29% directly promoted the successors to top positions and shared power with the founders (Stage 2), and 33 or 5% directly promoted the successors to top positions and gained full control (Stage 3 Post Succession).

with that for *Successor Stage 1* to be greatest, *Successor Stage 2* to be less, and that of *Post Succession* not significant.

Hypotheses 4 and 5 further investigate how the successor-ESG relationships vary among family firms with different temporal and familial moderators. We develop equation (1) above to include interaction terms as follows:

$$ESG_{i,t} = \alpha_1 + \beta_1 X_{i,t} * M_{i,t} + \beta_2 X_{i,t} + \beta_3 M_{i,t} + Controls + YEAR\ FE + FIRM\ FE + \varepsilon_{i,t} \quad (2)$$

where $X_{i,t}$ denotes the various metrics for succession status (*Successor* and *Post Succession*), and $M_{i,t}$ denotes the moderating variable. The regressions are again fixed-effects panel regressions with standard errors clustered at the firm level, with the same control variables and fixed effects as in equation (1). To limit the correlation between the interaction term and the moderating variable, we mean-center all continuous moderating variables.

Summary Statistics

Table 1 Panel A reports summary statistics for our main variables. Roughly 24.5% of our firms have an identified successor, out of which 13.8% are in succession stage 1, and the remaining 10.7% are in succession stage 2. We only had 2.3% of the sample entering the post-succession stage 3. This is because the private sector only began to emerge in China after the 1978 economic reforms. As such, most Chinese family firms are relatively young, with founders still present[8]; and only some of them have been experiencing a first-generation transition in recent years. The median age for the founder in our sample is 53; and for the subsample with an identified successor, the

[8] The median family firm's age reported in studies of U.S. Family firms (e.g. Anderson and Reeb, 2003) is 76, while in our sample with Chinese family firms, the median firm age is only 15.

median age for the successor is 35. In Panel B, we categorize the number of unique firms reaching different succession milestones based on the relationship between the successor and the founder. Most family firms identify the founder's sons as successors (491 out of 667 cases, accounting for 73.6%), followed by daughters (124 cases, or 18.6%). The remaining 7.8% of successions involve other family members, such as sons-in-law, nephews, and grandchildren. The proportion of successors who are sons, daughters, or other family members remains relatively consistent across the different stages of transition. In the Online Appendix Table 1, we present the correlation matrix for the main variables. *Succession* is positively correlated with *ESG*, but the Post Succession stage is associated with lower ESG. Both ESG and succession are also affected by firm characteristics such as size, leverage, ROA, family control, and market to book ratio.

[Insert Table 1]

Results

Baseline Results

In the baseline regression of Table 2 equation (1), we report the relationship between different succession stages and ESG performance. In column 1, we compare the difference in ESG performance between firms that have identified potential successors and firms that have not. The coefficient for *Successor* is positive and statistically significant, consistent with Hypothesis 1 that ESG will be higher for family firms after the appointment of an heir apparent family member to a top management position. The economic significance is substantial: for firms with identified potential successors, the ESG score is 1.698 higher, representing a 2.52% increase relative to the sample mean. Column 1 also shows that firms that are bigger, more mature (as indicated by slower growth), less leveraged, and more profitable tend to have better ESG performance. Note that firms

with these characteristics tend to have more free cash flow and other resources to better afford ESG initiatives. The variance inflation factor (VIF) values for all variables, excluding fixed effects, are all smaller than 2, demonstrating that there is no significant issue of multicollinearity.

[Insert Table 2]

In columns 2 and 3, we further examine the succession-ESG relationship by breaking down the pre-succession stage. Column 2 shows that ESG performance improves during both Stage 1, when potential family successors are promoted to senior positions, and Stage 2, when they ascend to top executive roles. However, in column 3, where the analysis is restricted to firms with family successors in either Stage 1 or Stage 2, results indicate that ESG performance is significantly lower in the latter (c.f. the negative coefficient for Stage 2 when Stage 1 is the base case). This finding supports Hypothesis 2, which posits that CSR activities decline when a family heir assumes a top executive role while the founder remains active in the firm. This outcome can be attributed to the contrasting priorities between founder and successor, which were argued to constrain CSR initiatives during this stage of power-sharing.

In columns 4 and 5, we examine the post-succession stage (*Post Succession,* Stage 3), when family successors gain full control and founders are no longer present. When we limit our analysis to firms with identified successors in column 4, we find a significant decline in ESG performance after founders have left: i.e. the coefficient for *Post Succession* is negative compared to base case Stages 1 & 2. The -2.73 coefficient is also economically significant, representing a 4.05% decline in ESG relative to the sample mean. This is consistent with founders and successors having different legacy-building and hence CSR aspirations. However, in column 5 when we analyze all succession stages simultaneously, the *Post Succession* coefficient, though still negative, becomes

insignificant, suggesting that ESG performance reverts back to the no successor level once the founder has left the firm. This decline is relative to the substantial increase in ESG in Stages 1 and 2. Overall, the findings support Hypothesis 3 that CSR will decline after family heirs assume full control.

Succession and Moderating Factors

The aspiration to build a legacy via socially responsible initiatives can vary among family firms and be influenced by both temporal and familial factors during the different stages of succession. In Table 3, Columns 1-3, we examine how *temporal factors* relating to founders and successors moderate the relationship between ESG performance and the succession stages. Column 1 shows that as founders age, the positive relationship between ESG performance and the pre-succession stage becomes more pronounced. In the post-succession stage, Columns 2-3 show that the negative impact on ESG of an heir's leadership diminishes as the heir ages and has longer tenure within the firm. These findings support Hypothesis 4 that temporal factors moderate the succession-ESG relationship due to changing attitudes of the founders and successors towards legacy building.

Familial factors also demonstrate moderating effects on the relationship between ESG and succession. Columns 4 and 6 indicate that the succession-ESG relationship is more pronounced for founders who are first-born; however, coefficients for both daughters and sons (versus other family or non-family successors) are significant. In the post succession stage (Column 5), the negative impact of an heir on ESG diminishes when the heir has offspring. These results support Hypothesis 5, demonstrating that the impact of succession stages on ESG is shaped by familial factors.

[Insert Table 3]

Post Hoc Analyses

To further explore our baseline results, we examine *why* heir successors reduce CSR after founders leave, whether the way the firm was founded influences the succession-ESG relationship, and which pillars of ESG are most affected by the succession cycle.

Other Firm Strategies Post Succession: First, we explore reasons for the drop in CSR when successors gain full control after founders leave their firms. We argued that successors and founders have different legacy and thus CSR aspirations, as successors are usually much younger and do not have to consider succession for years to come. We recognize, however, that firms may face other priorities post succession, as successors with different objectives wish to leave their mark. We thus examine whether successors reduce ESG to prioritize alternative long-term goals such as increasing R&D, making new investments, or making acquisitions. We present our analysis in Table 4. In columns 1 to 4, respectively, the dependent variables are R&D spending, capital expenditure, mergers & acquisition (M&A) spending, and asset growth. The variable of interest is the *Post Succession* dummy. Contrary to successors reducing CSR in favor of other goals, we do not find any increases in capital investment, M&A spending, or asset growth in the post succession period, as shown in columns 2-4. In column 1, the coefficient of *Post Succession* is statistically significant, but the sign is negative. These findings suggest that the decrease in CSR post succession is not due to more spending on R&D or asset investment; instead, R&D declines together with ESG, suggesting that successors are indeed less long-term oriented than their predecessors.

Founded Versus Bought: Second, while our sample includes family firms founded by entrepreneurs, many family firms originate from acquisitions. The attitude toward legacy may differ between founders who created their firms and those who acquired them. To explore this, we expand our sample to include acquired firms, allowing for a comparison of how the succession stage–ESG relationship varies.

Entrepreneurs who built their firms "from the ground up" often take pride in their achievements and view their firms as personal legacies (Higgins et al., 2001). They play a key role in shaping the business and forming personal relationships with employees and stakeholders, particularly during the firm's early, vulnerable stages (Hayward et al., 2022). This often fosters mutual loyalty and a desire to leave a positive legacy benefiting the family and close stakeholders, including investments in CSR initiatives that enhance reputation and governance (Bang et al., 2017). Such efforts may also ensure stronger stakeholder support for successors. By contrast, founders who purchased firms tend to acquire them later in their development, with established operations and diminished vulnerabilities. These founders may feel less attached to the firm as a personal legacy (Fox et al., 2010) and are less likely to devote resources to building stakeholder relationships (Loewenstein, 1992). We distinguish these firms using a dummy variable *Found Acq*, which equals to 1 for acquired firms and 0 otherwise. Table 4, Column 5, shows that the interaction of *Successor* with *Found Acq* is negative and statistically significant. This indicates that firms founded by entrepreneurs themselves exhibit higher CSR levels when successors are identified, supporting the idea that such founders prioritize legacy more strongly.

[Insert Table 4]

Three pillars of ESG: Third, we investigate the three pillars of ESG: environmental (E), social (S), and governance (G). To be consistent with the comprehensive ESG scores used in our

main analysis, which are industry-adjusted and provided by the database to facilitate meaningful comparisons across industries, we industry-adjust the individual E, S, and G component scores. Specifically, E is calculated as the difference between its raw score and median score for the corresponding industry and year. The same adjustment is applied to S and G scores, and these serve as dependent variables in Online Appendix Table 2. We find the increase in ESG in Stage 1 to be driven by all three pillars. By contrast, the decline in ESG post succession is mostly attributable to the G pillars. The governance pillar ensures that ESG considerations are reflected in decision-making and operations, monitored by the board, and properly audited by external parties. This may be critical to the authenticity of founder legacy pre-succession, but may suffer under a new leader.

Robustness Tests

Propensity Score Matching: Potential sources of endogeneity are common across management studies (Hill et al., 2021). One concern in our study is that firms that self-select into the succession process are different from those that do not, potentially influencing their ESG performance. To address that concern, we perform a propensity score matching (PSM) analysis (nearest neighbor matching strategy with a 0.1 cutoff) and report our results in Table 5 Panel A[9].

For the PSM analysis, we first run a logit regression of *Successor* on potential determinants of family firm succession: firm size, firm growth rate, ROA, family control, independent board,

[9] A natural alternative counterfactual is a founder's appointment of a professional CEO. We do not use this comparison because the family-versus-outsider CEO choice is endogenous --selected on family constraints, governance considerations, and often correlated with performance or restructuring shocks. That has caused prior studies to rely on quasi-exogenous variation to identify these effects (Pérez-González, 2006; Bennedsen et al., 2007). Accordingly, we benchmark succession-stage transitions against propensity-score-matched non-succession family firms and complement this with event-study dynamics (to assess pre-trends and transition timing) and a successor-removal ("reversal") test (to see whether the CSR shift attenuates when the successor exits), which together reduce the likelihood that our findings are driven by generic leadership turnover.

CEO duality, firm age, and founder age. We report the first-step regression and quality of matching in Online Appendix Table 3. In the second step, the propensity scores estimated in the first step are used to match each firm undergoing succession with a non-succession firm that has the closest propensity score. We then replicate our baseline analysis using this matched sample. The results, are similar to those in Table 2. Specifically, in the propensity score matched sample, despite the substantially reduced number of observations, we find that succession stage 1 continues to be associated with a significant increase in ESG, and stage 3 continues to be associated with a significant decrease in ESG.

[Insert Table 5]

Event Study Analysis: We conducted an event study analysis as an additional robustness check. Following the approach outlined by Chai and Freeman (2019) and Salvato et al. (2020), we define firms undergoing each succession stage as treatment firms. Thus, a firm that undergoes Stage 1 succession during our sample period is assigned *Treat_1* = 1, while other firms are assigned *Treat_1* = 0. Similarly, firms completing Stage 2 (or Stage 3) succession are assigned *Treat_2* = 1 (or *Treat_3* = 1), and *Treat_2* = 0 (or *Treat_3* = 0) otherwise. We then interact these treatment variables with *After_1*, *After_2*, and *After_3* – dummy variables that equal 1 for firm-year observations following the corresponding stage's initiation, and 0 otherwise. Propensity-score-matched firms, identified in the previous section, serve as the control group in the regressions. All regressions include industry and year fixed effects, with standard errors clustered by firm.

The results of this analysis are reported in Table 5 Panel B. We find that the interaction term *Treat_1* × *After_1* is positive and significant, while *Treat_3* × *After_3* is negative and significant. This suggests that, compared to firms without a Stage 1 (or Stage 3) succession event, those undergoing Stage 1 (or Stage 3) succession experience a significant increase (decrease) in

ESG performance after the start of that respective stage. Although the coefficient for *Treat_2* × *After_2* is not statistically significant, its negative sign aligns with the notion that ESG performance declines after Stage 2 begins. In summary, the event study analysis corroborates the findings from our main regressions.

In Table 5, Panel C, we present another robustness check by examining the special case whereby a firm removes its successor: i.e. the firm moves from having a successor (stage 1) to having no successor (Stage 0)[10]. Although only 51 of our firms experienced such an event, their ESG scores declined significantly afterwards, consistent with an anticipated succession having an impact on ESG.

Alternative Definition of Family Firms: Given that definitions of family firms can vary, we perform a battery of robustness tests to determine if our baseline results extend to multiple definitions. In lieu of the 20% control rights threshold, we consider 10%, 30%, and 50% as alternative criteria. For each we replicate our baseline results with various stages of succession in Online Appendix Table 4 Panel A. As we increase the control rights threshold, the increase in ESG in Stage 1 becomes even more pronounced. Indeed, our arguments appear especially relevant to firms with greater family control. In untabulated results, we apply a stricter definition of family firms, requiring at least 20% family control rights and a family member serving as board chair; this reduces our sample size substantially but our results remain robust.

Alternative Definition of ESG: For robustness checks, we also use the ESG rankings provided by Huazheng, which assign firms one of nine letter grades, ranging from C (least sustainable) to AAA (most sustainable). Following prior literature (e.g. Jiang et al., 2022; Li et al.,

[10] There are extremely few cases for other demotion scenarios, such as from stage 2 to stage 1 (CEO to VP) or stage 2 to stage 0 (CEO to no successor), hence we are unable to perform analysis for those scenarios.

2022), we convert these letter grades into numerical scores: AAA is assigned a value of 9, AA is 8, and so on, down to 1 for C ratings. We then rerun our baseline regressions using this alternative ESG measure, employing ordered logit regression with firm and year fixed effects, and standard errors clustered by firm. In Online Appendix Table 4 Panel B, we show that our baseline results are generally consistent with this alternative definition of ESG, using ESG ranks. As another robustness check, we use Hexun CSR scores as an alternative measure for our dependent variable. Hexun CSR directly captures the overall CSR score to firms, reflecting their performance in various dimensions of social responsibility. Our results remain robust (see Online Appendix Table 4 Panel C). Finally, in untabulated results, we construct an "E+S" index and find that our results are robust to this alternative measure, suggesting that they are not solely driven by governance.

Other Robustness Tests: We perform several other robustness tests in untabulated results. First, we investigate a potentially alternative explanation that the ESG changes around successions are introduced by the successors, who are more likely to have overseas education and exposure to global norms, rather than founders. We find that our results are not statistically different for firms with successors having overseas education. We also find that the reversals in ESG are unlikely to arise from operating pressures following ESG investments, because we do not observe significantly worse ROA, ROE, revenue growth, or Tobin's q around successions. We also consider alternative variables which could have moderated our results, such as the number of founder's children, the birth order of the successor, and the number of successor's children. We do not find these variables to be significant moderators in our study (results are available from the authors).

Discussion

Based on the behavioral theory of intertemporal choice (Frederick et al., 2002; Loewenstein & Thaler, 1989), we argued that choice preferences and their associated conduct can be influenced by the time horizon of anticipated benefits. For family firm founders and heirs, these include socioemotional benefits. In general, the sooner the reward, the more attractive the benefits and behavior.

We have argued that in family firms, CSR can reflect differing intertemporal preferences between founders and successors regarding socioemotional legacy payoffs. Behavioral theories of intertemporal choice maintain that decision makers discount delayed outcomes and exhibit present bias, such that near-term costs loom larger than distant benefits. Under hyperbolic discounting, the perceived value of a payoff rises as it becomes temporally proximate. Thus, founders approaching succession are close to legacy realization – the imminent passing on of the firm's reputational standing. Therefore, for them CSR investments generate considerable utility. By contrast, successors early in their careers must wait much longer for any legacy payoff, therefore discounting it and deprioritizing CSR investments relative to nearer-term operational and family demands.

Empirically, we showed that post-succession CSR decline is not driven by contemporaneous operating distress or short-term performance deterioration. Moreover, successors who reduced CSR did not supplant it with other long-term investments, consistent with broad temporal discounting logic rather than strategic reallocation. That is corroborated by our moderators: the post-succession drop in CSR is attenuated when successor characteristics signal longer time horizons: older successors and those with longer tenure show significantly weaker post-succession declines in CSR, and successors with children also show a smaller drop.

Whereas our research discussed the temporality of legacy benefits and related CSR, the same theorizing may apply to other issues in family firm and entrepreneurship research. For example, oncoming retirement and thoughts of generativity may induce other CEOs or entrepreneurs to invest in social causes in the hope of leaving a positive mark on society: e.g. by helping employees or making charitable and community contributions. By contrast, where the perceived potential socioemotional rewards from socially responsible behavior are far into the future, that might allow for less beneficent corporate conduct.

Temporality and Interpersonal Emotions: An interesting aspect of our research is the tie between temporal and interpersonal dimensions in choice: specifically, when the rewards of a decision are very far off and thus uncertain, the emotional *and* interpersonal impact may be diminished (Bang et al., 2017; Frederick et al., 2002). Thus, younger family firm owners do not know what will happen to the business many years hence or which if any family members will be implicated in its future. Such ambiguity and interpersonal anonymity can discourage long term family-oriented decisions (Loewenstein, 1992). By contrast, where older family members have had the time to build close relationships with those who are to take over and inherit the business and are thus emotionally tied to them and their well-being (Fox et al., 2010), that can augment legacy concerns and the associated investments and conduct.

Long-term investments and the temporal discount: Long-term investments present a quandary of intertemporal choice. For example, R&D, acquisitions, product diversification, and geographic expansions often take a long time to pay off. Given the delayed benefits and temporal choice preferences, that can discourage such investments, especially under the short-term time pressures facing many public companies. Although some family firms are said to adopt a long-

term orientation (Lumpkin & Brigham, 2011; Miller & Le Breton-Miller, 2005), that may vary with the intertemporal choices associated with the career stage of the executive in charge.

This is consistent with our findings relating especially strongly to the social and governance sub-components of CSR. The payoff from environmentalism may be longer term and less visible – and hence having a somewhat more modest connection to firm reputation and founder legacy. Moreover, our post-hoc analyses indicated that young successors with less emphasis on CSR did not invest in long-term investment options such as capital expenditures, acquisitions, and R&D, again perhaps because the associated payoff times are long.

Given the importance of long-term investments for entrepreneurship (Lumpkin & Brigham, 2011), variations among entrepreneurs in their intertemporal preferences have significant implications for their strategies and performance in different types of industries. In other words, intertemporal choice theory is an interesting lens for exploring variations in entrepreneurial conduct and performance.

Critical Family Events: Whereas much of the family business literature focusses on family firm heterogeneity (Daspit et al., 2021), it will be interesting to study how critical events in the careers of family owners and executives influence their decision making. Events such as marriage, the birth of children or grandchildren, promotions to executive positions as well as retirements and succession can influence the time horizons of family members in the business and therefore their legacy-oriented and other types of decisions (Lumpkin & Brigham, 2011).

Succession as an Extended Process: Although succession has generally been studied as a critical event (Amore et al., 2021; Miller et al., 2003), our study suggests that it should be viewed as a transition sequence occurring as leadership influence is gradually transferred from founder to successor. This is not a one-step event, but a process whereby priorities such as CSR change in

stages, as overlapping generations of leaders assume different roles and positions to influence decisions. The behavior occurring during these stages of overlap may be quite revealing, producing either conflict or a blending of generational priorities that broaden repertoires of behavior incorporating old and new perspectives. As such it may be a useful focus of subsequent research.

Family and Leader Life Cycles: Although others have postulated transitions in family firms (e.g. Gersick et al., 1997; Le Breton-Miller & Miller, 2013), less attention has been devoted to the evolving preoccupations of family *executives* over the course of their tenures, particularly as they manifest in different strategic priorities such as CSR. Such evolutionary comparisons can help to inform a variety of debates about family firm temporality and conduct. More broadly, we advocate a more temporally sensitive approach to the study of family firms and their leaders. Indeed, an intertemporal perspective also can be applied to study the salience of other SEW-related priorities over the careers of family firm owners and managers, in different generations, and across significant events such as succession.

Practical Implications

It will be important to ensure that founder and heir career and life milestones and their policy implications do not disrupt the successful evolution of an organization. Leadership transitions are challenging, and board members would be wise to ensure continuity in policies during periods in which the temporal perspectives of leaders undergo transformation. More generally, actors must become alert to the temporal biases and potential excesses brought on by life events such as succession, and again board members as well as others on the top management team have an important role to play. This is especially true where a short-term focus prioritizes the personal interests of a family member rather than the long-term well-being of the organization.

Finally, given the risks and delayed rewards associated with long-term oriented decisions, these often tend to be neglected, especially when there are short-term pressures for performance or family demands for resources. Our research indicates that there should be governance mechanisms in place to ensure that does not happen.

Limitations and Research Opportunities

Our analyses focus on publicly listed firms that remain observable during the succession process. Firms experiencing severe conflict or failed leadership transitions during the power-sharing stage may exit the sample or abandon succession, making them difficult to observe in archival datasets. As a result, our findings primarily describe CSR dynamics among firms that continue operating through the succession stages and may not generalize to highly turbulent or unsuccessful transitions. Future research could explore succession processes in more turbulent contexts, for example, by examining private firms, failed successions, or cases involving significant family conflict, to better understand how CSR evolves under less stable transition conditions.

As our study is of public Chinese firms, we cannot know whether its findings will generalize to private companies. Moreover, the Chinese environment is one with a preponderance of relatively young businesses, one-child families, paternalistic cultures, and significant government influence over corporate conduct. It would be useful therefore to explore environments with older firms, less government impact, different cultural values, and to ascertain whether the same dynamics occur in private family companies.

Another limitation of our Chinese sample is that the successions we examine are those from founders to offspring. It is not clear that the same changes in CSR would occur as businesses transfer from, say, second to third generations who may have played less of a role in building a

firm and forming relationships with the employees who supported it in its early years. That in turn suggests another research opportunity.

Moreover, although we draw upon explanatory mechanisms related to intertemporal choice, strictly speaking, ours is a study of pre- and post-succession stages. It would be useful therefore to undertake qualitative and longitudinal case studies to learn the details of just what occurs during these stages, and discover the rationales expressed by founders, successors, and their respective family members. Examining different types of founder and successor pairs, again across distinct transition stages, may produce interesting contrasts. For example, researchers may study successions within the same generation or to cousins rather than offspring or investigate successions that span multiple generations. It may be worthwhile as well to compare ownership successions to determine their impact on CSR and other forms of family firm conduct.

Conclusion

Some scholars maintain that family firms are long term oriented and stakeholder friendly and thus exhibit superior CSR; others suggest they are short-term focused and family centric (Mariani et al., 2023; Miller & Le Breton-Miller, 2021). To further inform these contrasts we developed an evolutionary perspective, treating succession as a dynamic multi-stage process instead of the event- based static analyses of the other studies on the topic. We proposed that CSR priorities will change across the careers of family firm leaders, such that founder preoccupations with legacy cause them to increase CSR prior to succession, after which it drops when founders first share and then lose power to a successor more concerned with immediate challenges. As expected, this elevation in CSR was especially prominent for older, first-born business founders, and it diminished less for older line-function successors with children. In short, priorities associated with leader career stages and demographics around succession are shown to be robust

and important drivers of CSR in family firms. We urge further research into these relationships in different contexts.

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The Appendix

Variable	Definition	Data source
ESG	Overall ESG score (ranges from 1-100), a measure of a firm's sustainability and CSR performance, equals to the annual average of the four quarterly ESG scores.	Huazheng ESG data
Successor Stage 1	The first (identification) stage of the succession process, equals to 1 for years that a focal family firm is in the identification stage, and 0 otherwise. The identification stage is defined as when a non-founder family member, who is related to the founder by birth, marriage, or adoption, is promoted to a key position, equivalent to the chief operating officer reporting directly to the founder) for the first time.	Hand-collected
Successor Stage 2	The second (power sharing) stage of the succession process, equals to 1 when the successor is promoted to the highest positions such as the chief manager (equivalent to the CEO) but the founder remains in the business, and 0 otherwise.	Hand-collected
Successor	The successor dummy, equals to 1 for firms that has a successor identified in the pre-succession stage, and 0 otherwise. Both *Successor Stage 1* and *Successor Stage 2* are regarded as the pre-succession stage.	Hand-collected
Post Succession	The post Succession dummy, equals to 1 for family firms in the third stage of the succession process, when the successor remains in the top position and the founder leaves the firm, and 0 otherwise.	Hand-collected
Founder Age	The natural logarithm of the age of the founder	Hand-collected
Founder 1st born	A dummy variable, equals to1 if the founder is the first child in her family, and 0 otherwise	Hand-collected
Son Successor	A dummy variable, equals to 1 if the successor is the son of the founder, and 0 otherwise	Hand-collected
Daughter Successor	A dummy variable, equals to 1 if the successor is the daughter of the founder, and 0 otherwise	Hand-collected
Found Acq	A dummy variable, equals to 1 if the firm is founded through acquisitions, and 0 otherwise	Hand-collected
Successor Age	The natural logarithm of the age of the successor	Hand-collected
Successor Tenure	The number of years since the successor started working in the firm	Hand-collected
Successor Kids	A dummy variable, equals to 1 if the successor has her own kids	Hand-collected
Firm Size	The natural logarithm of the total assets of the firm	CSMAR
ROA	The ratio of net income to total assets	CSMAR
Cash Flow	The ratio of cash from operations to total assets	CSMAR
Leverage	The ratio of total liabilities to total assets	CSMAR
Firm Growth Rate	The change ratio in sales year-on-year	CSMAR
Market to Book	The ratio of market value of equity to book value of equity	CSMAR
Firm Age	The natural logarithm of one plus the number of years since the firm was established	CSMAR
Dual	A dummy variable, equals to 1 when a CEO holds both the CEO and Chairperson of the board role, and 0 otherwise	CSMAR
Independent Board	The ratio of independent directors to the total number of directors	CSMAR
Family Control%	The aggregating control rights along pyramidal ownership structure	CSMAR
CEO Age	The natural logarithm of the age of the CEO	CSMAR
CEO Gender	A dummy variable, equals to 1 if the CEO is male, and 0 otherwise	CSMAR
R&D	The ratio of R&D expenditure to revenue	CSMAR
Capital Expenditure	The ratio of capital expenditure to revenue	CSMAR
Asset Growth	The ratio of change of asset from year t-1 to t to total asset in t-1	CSMAR
M&A Value	The ratio of amount spent on M&A to total revenue	CSMAR

Figure 1. Dynamics around Succession Stages and CSR

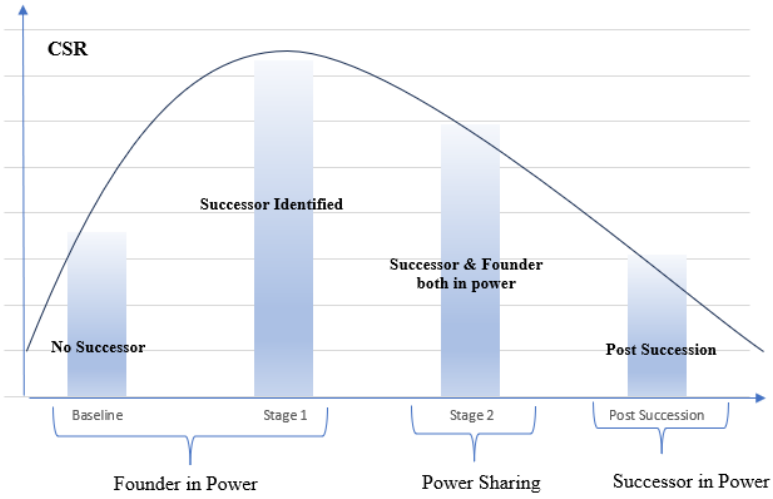


Figure 2: Succession Stages, Legacy and CSR

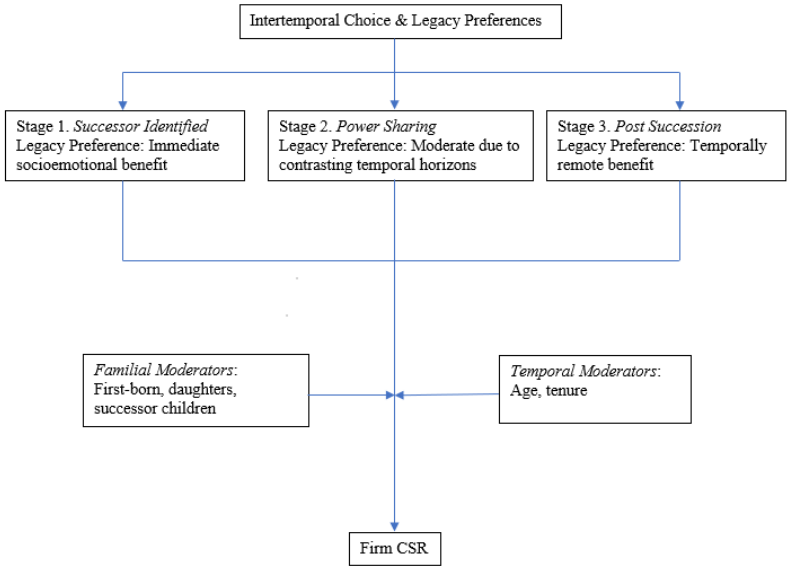


Table 1. Summary Statistics

This table presents summary statistics (Panel A), and number of firms by successor type (Panel B). Variable definitions can be found in the Appendix.

Panel A. Summary Statistics

	N	Mean	P25	P50	P75	SD
ESG	9968	68.067	62.726	68.960	74.598	9.368
E	9967	58.697	53.310	58.420	63.610	7.181
S	9967	72.887	66.700	73.190	78.980	9.776
G	9967	79.946	76.980	81.180	84.280	6.683
Successor	9968	0.245	0.000	0.000	0.000	0.430
Successor Stage1	9968	0.138	0.000	0.000	0.000	0.345
Successor Stage2	9968	0.107	0.000	0.000	0.000	0.309
Post Succession	9968	0.023	0.000	0.000	0.000	0.151
Firm Size	9968	21.673	20.920	21.577	22.307	1.039
Firm Growth Rate	9968	0.237	0.007	0.150	0.326	0.569
Cash Flow	9968	0.039	0.000	0.039	0.082	0.074
Leverage	9968	0.380	0.213	0.360	0.520	0.209
ROA	9968	0.044	0.019	0.044	0.072	0.064
Family Control%	9968	42.639	30.070	40.710	53.000	14.710
Independent Board	9968	0.376	0.333	0.333	0.429	0.054
Dual	9968	0.371	0.000	0.000	1.000	0.483
Firm Age	9968	15.189	11.000	15.000	19.000	5.495
CEO Gender (Male=1)	9968	0.918	1.000	1.000	1.000	0.274
CEO Age	9968	48.385	44.000	48.000	53.000	6.971
Market to Book	9968	3.075	1.619	2.280	3.494	2.813
Founder Age	9845	54.792	49.000	53.000	60.000	8.257
Founder 1st born	3833	0.532	0.000	1.000	1.000	0.499
Son Successor	9968	0.235	0.000	0.000	0.000	0.424
Daughter Successor	9968	0.065	0.000	0.000	0.000	0.247
Successor Age	3121	35.922	30.000	35.000	41.000	7.220
Successor Tenure	2551	9.482	3.000	8.000	13.000	7.008
Successor Kids	9968	0.012	0.000	0.000	0.000	0.108
R&D	9968	0.040	0.009	0.033	0.050	0.044
MA Value	9968	0.055	0.017	0.040	0.078	0.053
Asset growth	9968	0.049	0.000	0.000	0.017	0.164
Capital expenditure	9480	0.247	0.036	0.127	0.287	0.466
Hexun CSR	9549	23.425	16.810	21.590	26.600	13.979

Panel B. Number of Unique Firms Reaching Succession Milestones by Successor Type

		Successor Type				
	All	Sons	Daughters	Sons-in-law	Nephews	Other
Firms with Succession	667	491	124	18	27	7
Stage 1	439	310	95	10	20	4
Stage 2	298	238	38	10	8	4
Stage 3	86	67	14	2	3	0

Table 2. Succession Stages and ESG

This table reports how the different succession stages influence the ESG. Detailed variable definitions are in the Appendix. All regressions include firm and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)	(5)
		Pre-Succession Stage		Post Succession Stage	All stages combined
Dep. Var.: ESG	Successor vs. no successor	Stage1, Stage2 vs. no successor	Stage1 vs. Stage2 only	Post- vs. pre-succession stage	
Successor	1.726***				
	(3.77)				
Successor_Stage1		1.698***			1.787***
		(3.68)			(3.91)
Successor_Stage2		1.895**	-1.681*		1.399*
		(2.25)	(-1.68)		(1.73)
Post Succession				-2.730**	-0.609
				(-2.44)	(-0.54)
Firm Size	2.251***	2.252***	1.207	1.636**	2.320***
	(6.57)	(6.57)	(1.44)	(2.04)	(6.93)
Firm Growth Rate	-0.635***	-0.635***	-0.588**	-0.857***	-0.692***
	(-5.02)	(-5.02)	(-2.17)	(-3.10)	(-5.40)
Cash Flow	-1.990	-1.993	-2.896	-2.621	-1.918
	(-1.60)	(-1.60)	(-1.46)	(-1.33)	(-1.56)
Leverage	-6.947***	-6.943***	-6.529***	-5.162**	-6.688***
	(-5.64)	(-5.63)	(-2.67)	(-2.21)	(-5.50)
ROA	3.734**	3.736**	8.276**	9.335***	4.158**
	(2.16)	(2.16)	(2.31)	(3.33)	(2.50)
Family Control%	0.018	0.018	0.008	0.011	0.020
	(0.94)	(0.94)	(0.17)	(0.24)	(1.02)
Independent Board	1.349	1.333	5.063	4.319	1.218
	(0.60)	(0.59)	(1.00)	(0.92)	(0.55)
Dual	-0.188	-0.193	0.968	0.775	-0.182
	(-0.55)	(-0.56)	(1.24)	(1.11)	(-0.55)
Firm Age	-2.787	-2.792	-2.682	-3.364	-2.827
	(-1.56)	(-1.56)	(-0.80)	(-1.09)	(-1.63)
CEO Gender	0.169	0.174	1.740	1.338	0.044
	(0.28)	(0.29)	(1.42)	(1.16)	(0.07)
CEO Age	0.173	0.277	-2.738	-1.143	-0.100
	(0.17)	(0.26)	(-1.25)	(-0.62)	(-0.09)
Market to Book	0.053	0.053	0.150	0.052	0.042
	(1.13)	(1.13)	(1.43)	(0.45)	(0.89)
Firm & Year FE	Yes	Yes	Yes	Yes	Yes
Observations	9,736	9,736	2,444	2,676	9,968
R-squared	0.084	0.084	0.069	0.078	0.087

Table 3. Succession Stages, ESG & Moderating Factors

This table reports how the temporal and familial factors moderate the succession-ESG relationship. Columns 1-3 report regressions with temporal factors of founders in the pre-succession stage (i.e. before the founder exited the firm) and successors in the post-succession stage as moderating factors. Columns 4-6 report regressions with familial factors as moderating factors. Detailed variable definitions are in the Appendix. All regressions include firm and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)	(5)	(6)
Dep. Var.: ESG	Temporal Moderators			Familial Moderators[11]		
Successor	1.071**			0.059		-1.295
	(2.10)			(0.06)		(-1.11)
Post Succession		-4.044***	-6.107***		-2.974***	
		(-3.60)	(-4.31)		(-2.66)	
Founder Age	-5.545					
	(-0.34)					
Successor × Founder Age	8.384*					
	(1.91)					
Successor Age		-0.065				
		(-0.28)				
Post Succession × Successor Age		0.279*				
		(1.96)				
Successor Tenure			-0.180			
			(-0.59)			
Post Succession × Successor Tenure			0.461***			
			(2.98)			
Successor × Founder 1st born				3.215**		
				(2.21)		
Post Succession × Successor with Kids					6.167*	
					(1.76)	
Post Succession × Son Successor						3.129**
						(2.49)
Post Succession × Daughter Successor						3.755**
						(2.36)
Firm Size	2.305***	1.512*	1.750*	1.440**	1.595**	2.252***
	(6.60)	(1.88)	(1.75)	(2.53)	(1.98)	(6.59)
Firm Growth Rate	-0.648***	-0.920***	-0.971***	-0.568***	-0.845***	-0.635***
	(-5.06)	(-3.14)	(-2.78)	(-2.84)	(-3.06)	(-5.02)
Cash Flow	-1.980	-2.512	-0.510	-2.115	-2.561	-2.017
	(-1.58)	(-1.22)	(-0.21)	(-0.96)	(-1.30)	(-1.62)
Leverage	-6.891***	-5.210**	-4.276*	-5.460***	-5.228**	-7.024***
	(-5.54)	(-2.19)	(-1.69)	(-3.09)	(-2.24)	(-5.73)
ROA	3.742**	9.380***	5.226*	3.102	9.393***	3.730**
	(2.11)	(3.29)	(1.76)	(1.17)	(3.35)	(2.16)

[11] In all familial regressions, we do not include the main effect for familial factors because these are time invariant and are absorbed by firm fixed effect.

Family Control%	0.017	0.011	0.021	-0.008	0.010	0.020
	(0.86)	(0.23)	(0.37)	(-0.21)	(0.22)	(1.00)
Independent Board	1.531	4.787	8.868*	0.865	3.899	1.360
	(0.68)	(1.04)	(1.68)	(0.22)	(0.84)	(0.61)
Dual	-0.195	0.768	0.770	-0.399	0.817	-0.189
	(-0.56)	(1.11)	(0.94)	(-0.75)	(1.17)	(-0.55)
Firm Age	-2.602	-2.911	-1.833	-9.237***	-3.450	-2.795
	(-1.45)	(-0.93)	(-0.46)	(-2.80)	(-1.11)	(-1.56)
CEO Gender	0.184	1.680	1.596	0.840	1.319	0.216
	(0.30)	(1.36)	(1.01)	(1.04)	(1.15)	(0.36)
CEO Age	0.340	-1.225	-0.893	-0.561	-1.082	0.102
	(0.33)	(-0.68)	(-0.42)	(-0.33)	(-0.59)	(0.10)
Market to Book	0.059	0.025	0.044	-0.055	0.051	0.055
	(1.23)	(0.21)	(0.32)	(-0.54)	(0.45)	(1.20)
Firm & Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	9,650	2,636	1,914	3,791	2,676	9,736
R-squared	0.085	0.085	0.092	0.090	0.080	0.085

Table 4. Post Hoc Analysis

This table reports the relationship between post succession stage and company strategies (Columns 1-4) and whether our results differ for firms founded by the entrepreneurs or bought by the entrepreneurs (Column 5). Detailed variable definitions are in the Appendix. All regressions include firm and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)	(5)
Dep. Var.:	R&D	Capital Expenditure	M&A Value	Asset Growth	ESG: Bought Versus Founded
Post succession	-0.005**	-0.005	-0.005	0.008	
	(-2.14)	(-0.68)	(-0.24)	(0.18)	
Successor					1.627***
					(3.71)
Found Acq					-2.352***
					(-4.08)
Successor × Found Acq					-4.179***
					(-3.23)
Firm size	0.001	0.012***	-0.053***	0.402***	2.248***
	(0.48)	(2.89)	(-2.74)	(8.77)	(8.45)
Firm Growth Rate	-0.002***	-0.001	0.001	0.304***	-0.587***
	(-3.31)	(-0.95)	(0.14)	(4.95)	(-5.20)
Cash Flow	0.004	0.013	-0.084	-0.329**	-1.350
	(0.88)	(1.08)	(-1.23)	(-1.98)	(-1.19)
Leverage	-0.006	-0.029**	0.073	-0.105	-6.759***
	(-1.18)	(-2.15)	(1.28)	(-0.79)	(-6.76)
ROA	-0.048**	0.065***	0.134	-0.063	2.850*
	(-2.50)	(2.72)	(1.60)	(-0.28)	(1.88)
Family Control%	-0.000	0.001***	0.002*	0.000	0.026*
	(-0.24)	(2.78)	(1.78)	(0.16)	(1.65)
Independent Board	0.008	0.000	0.007	-0.563*	2.959
	(0.49)	(0.01)	(0.05)	(-1.68)	(1.31)
Dual	0.000	-0.000	0.017	0.066**	-0.039
	(0.13)	(-0.06)	(1.14)	(1.97)	(-0.13)
Firm Age	0.004	-0.110***	0.111**	-0.394**	-3.680**
	(0.43)	(-5.16)	(2.19)	(-2.41)	(-2.20)
CEO Gender	0.000	0.007	0.005	-0.050	-0.463
	(0.08)	(0.92)	(0.17)	(-0.68)	(-0.87)
CEO Age	-0.001	0.002	0.001	-0.030	0.026
	(-0.20)	(0.15)	(0.05)	(-0.43)	(0.03)
Market to Book	-0.000*	0.000	0.012***	-0.007	0.061
	(-1.80)	(0.57)	(2.64)	(-1.38)	(1.50)
Firm & Year FE	Yes	Yes	Yes	Yes	Yes
Observations	2,676	2,676	2,676	2,587	10,498
R-squared	0.126	0.181	0.052	0.322	0.100

Table 5. Robustness Tests

Panel A. Propensity Score Matching

This table reports how the different succession stages influence the ESG based on the propensity score matched sample. Detailed variable definitions are in the Appendix. All regressions include firm and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

Dep. Var.: ESG	(1) Successor vs. no successor	(2) Stage1, Stage2 vs. no successor	(3) Stage1 vs. Stage2 only	(4) Post- vs. pre-succession stage	(5) All Stages
Successor	1.327**				
	(2.14)				
Successor_Stage1		1.414**			1.488**
		(2.18)			(2.27)
Successor_Stage2		0.707	-2.564*		0.795
		(0.64)	(-1.90)		(0.75)
Post Succession				-5.180***	-4.088***
				(-3.48)	(-2.63)
Firm Size	2.106***	2.108***	2.388**	2.945***	2.392***
	(3.00)	(3.01)	(2.36)	(2.88)	(3.49)
Firm Growth Rate	-0.738***	-0.735***	-0.441	-0.648*	-0.792***
	(-3.01)	(-2.98)	(-1.17)	(-1.85)	(-3.36)
Cash Flow	-4.257*	-4.272*	-4.718	-3.667	-3.518
	(-1.65)	(-1.65)	(-1.61)	(-1.25)	(-1.38)
Leverage	-6.548***	-6.572***	-9.541***	-7.371**	-5.855***
	(-2.85)	(-2.86)	(-2.77)	(-2.09)	(-2.59)
ROA	7.202**	7.154**	6.698	7.326**	7.382**
	(2.16)	(2.14)	(1.40)	(2.07)	(2.56)
Family Control%	0.027	0.026	0.033	0.018	0.021
	(0.75)	(0.73)	(0.56)	(0.31)	(0.60)
Independent Board	0.333	0.553	-0.132	1.988	1.804
	(0.07)	(0.12)	(-0.02)	(0.33)	(0.39)
Dual	0.508	0.553	1.356	1.237	0.505
	(0.67)	(0.72)	(1.29)	(1.22)	(0.70)
Firm Age	0.234	0.253	-5.597	-4.040	0.619
	(0.07)	(0.08)	(-1.13)	(-0.85)	(0.20)
CEO Gender	0.046	0.005	1.945	1.449	-0.198
	(0.04)	(0.00)	(1.18)	(0.87)	(-0.17)
CEO Age	0.460	0.006	-4.497*	-2.125	0.096
	(0.25)	(0.00)	(-1.66)	(-0.85)	(0.05)
Market to Book	0.125	0.126	0.131	-0.012	0.078
	(1.43)	(1.43)	(0.96)	(-0.08)	(0.86)
Firm & Year FE	Yes	Yes	Yes	Yes	Yes
Observations	3,060	3,060	1,528	1,598	3,130
R-squared	0.069	0.069	0.086	0.111	0.091

Panel B. Event Study Regressions

This panel studies ESG for firms that have completed a specific succession stage but have not progressed to the next stage during the sample period compared to its control group. We define firms undergoing each succession stage as treatment firms. Control groups are the propensity-score-matched firms. Detailed variable definitions are in the Appendix. All regressions include industry and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)
Dep. Var.	ESG	ESG	ESG
Treat_1	-0.913		
	(-1.35)		
Treat_1 × After_1	1.473***		
	(2.71)		
Treat_2		1.218	
		(1.34)	
Treat_2 × After_2		-1.847	
		(-1.46)	
Treat_3			1.455
			(0.94)
Treat_3 × After_3			-5.060***
			(-2.83)
Firm size	1.585***	1.491***	1.472**
	(4.93)	(2.93)	(2.00)
Market to Book	0.022	-0.048	-0.096
	(0.26)	(-0.46)	(-0.54)
Firm Growth Rate	-0.798***	-0.238	-0.667
	(-3.51)	(-1.09)	(-1.35)
Cash Flow	-3.668	-4.490	0.264
	(-1.56)	(-1.48)	(0.07)
Leverage	-6.371***	-6.834***	-6.471**
	(-3.98)	(-2.95)	(-2.14)
ROA	10.196***	9.772**	15.537***
	(3.43)	(2.50)	(3.30)
Family Control%	0.046**	0.043	0.060**
	(2.54)	(1.41)	(1.99)
Independent Board	3.198	8.324	2.061
	(0.83)	(1.48)	(0.33)
Dual	0.619	1.124	-0.608
	(1.20)	(1.41)	(-0.58)
Firm Age	-1.261	-0.574	-2.828**
	(-1.55)	(-0.46)	(-2.12)
CEO Gender	-1.442*	0.209	1.721
	(-1.66)	(0.19)	(1.01)
CEO Age	1.179	-1.320	-0.623
	(0.76)	(-0.62)	(-0.28)
Industry & Year FE	Yes	Yes	Yes
Observations	2,694	1,356	777
R-squared	0.251	0.268	0.343

Panel C. Removal of a Successor

This panel reports how the removal of a successor (i.e. demotion of a successor from a VP role) could influence the ESG. All regressions include firm and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)
Dep. Var.:	ESG
Successor to No Successor	-9.176**
	(-2.08)
Firm Size	2.421**
	(2.65)
Firm Growth Rate	-0.061
	(-0.10)
Cash Flow	-9.216
	(-1.65)
Leverage	-8.556
	(-1.67)
ROA	0.454
	(0.04)
Family Control%	0.175*
	(2.00)
Independent Board	2.996
	(0.30)
Dual	-0.020
	(-0.02)
Firm Age	6.297
	(0.67)
CEO Gender	-4.895**
	(-2.37)
CEO Age	9.701***
	(3.48)
Market to Book	0.403*
	(1.85)
Founder Age	-9.176**
	(-2.08)
Firm & Year FE	Yes
Observations	250
R-squared	0.306

Online Appendix Table 1. Correlation Matrix

	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20
1 ESG																				
2 E	0.48																			
3 S	0.57	0.23																		
4 G	0.55	0.04	-0.01																	
5 Successor	0.03	0.04	0.00	-0.01																
6 Successor Stage1	0.00	0.01	-0.01	0.00	0.70															
7 Successor Stage2	0.03	0.05	0.00	-0.02	0.61	-0.14														
8 Post Succession	0.00	0.02	0.00	-0.04	-0.09	-0.06	-0.05													
9 Firm Size	0.12	0.19	0.27	-0.17	0.10	0.09	0.04	0.04												
10 Firm Growth Rate	-0.03	-0.05	0.00	-0.05	-0.03	-0.01	-0.03	0.00	0.08											
11 Cash Flow	0.07	0.04	-0.01	0.12	0.07	0.04	0.04	-0.02	-0.01	-0.02										
12 Leverage	-0.13	0.06	0.09	-0.36	0.01	0.01	0.01	0.04	0.43	0.07	-0.18									
13 ROA	0.22	0.01	0.08	0.26	0.02	0.03	0.00	-0.04	0.00	0.15	0.35	-0.34								
14 Family Control%	0.13	0.01	0.04	0.12	0.10	0.04	0.10	-0.05	0.07	0.01	0.06	-0.06	0.15							
15 Independent Board	0.03	-0.05	-0.03	0.11	-0.10	-0.11	-0.02	0.00	-0.06	0.01	0.00	-0.03	-0.03	0.09						
16 Dual	0.01	-0.06	0.00	0.05	-0.13	-0.04	-0.14	0.02	-0.11	0.00	-0.02	-0.10	0.01	0.05	0.14					
17 Firm Age	-0.09	0.00	0.04	-0.20	0.10	0.07	0.07	0.07	0.16	0.01	-0.02	0.16	-0.08	-0.09	-0.01	-0.08				
18 CEO Gender	-0.03	-0.01	-0.02	-0.02	-0.01	-0.02	0.01	0.01	0.01	-0.01	-0.01	0.00	-0.01	-0.05	-0.05	0.08	0.00			
19 CEO Age	0.01	0.01	0.02	0.01	-0.12	0.14	-0.33	-0.05	0.04	-0.02	0.03	-0.02	0.01	-0.01	0.02	0.26	0.10	0.03		
20 Market to Book	-0.18	-0.12	-0.12	-0.08	-0.06	-0.04	-0.03	-0.01	-0.26	0.05	0.03	0.12	-0.01	-0.15	0.04	-0.01	0.08	0.00	-0.02	
21 Founder Age	0.04	0.10	0.00	-0.04	0.52	0.26	0.44	0.26	0.14	-0.06	0.09	-0.01	0.00	0.02	-0.08	-0.17	0.24	0.00	0.12	-0.06
22 Founder 1st born	-0.03	-0.04	-0.07	0.01	0.01	0.03	-0.02	0.07	-0.03	0.01	0.01	0.00	0.01	-0.01	0.05	0.01	-0.03	0.04	0.02	-0.01
23 Successor' age	0.01	0.03	-0.02	-0.02	0.67	0.41	0.48	0.23	0.10	-0.03	0.05	0.04	0.00	0.08	-0.06	-0.10	0.08	0.05	-0.13	-0.04
24 Son Successor	0.03	0.05	-0.01	-0.01	0.29	0.30	0.06	0.01	0.04	-0.01	0.02	0.01	0.00	0.02	-0.04	-0.04	0.01	-0.11	0.04	-0.02
25 Daughter Successor	0.03	0.06	0.02	-0.02	0.11	-0.24	0.35	0.32	0.07	-0.01	0.06	0.01	-0.01	-0.01	-0.01	-0.05	0.20	0.04	0.01	-0.05
26 Tenure	0.05	0.10	0.06	-0.07	0.25	-0.12	0.38	0.34	0.18	-0.03	0.08	0.05	-0.04	0.06	0.00	-0.04	0.23	0.09	-0.03	-0.07
27 Success kids	0.01	0.01	0.00	0.01	0.15	0.03	0.18	0.08	0.02	-0.03	0.00	-0.01	-0.02	0.01	0.01	-0.01	0.01	0.00	-0.01	-0.03
28 R&D	0.05	-0.06	0.03	0.12	-0.11	-0.07	-0.08	-0.05	-0.19	-0.05	0.02	-0.34	0.01	-0.05	0.08	0.15	-0.11	0.03	0.03	0.02
29 MA Value	0.13	0.03	0.02	0.20	0.00	0.00	0.00	-0.02	-0.06	0.01	0.13	-0.11	0.14	0.09	0.01	0.08	-0.19	0.01	0.00	-0.10
30 Asset growth	-0.04	-0.04	-0.02	-0.01	-0.02	-0.01	-0.01	-0.01	-0.08	0.06	0.00	-0.02	-0.02	-0.01	0.01	0.01	0.00	0.00	-0.02	0.12
31 Capital expenditure	-0.01	-0.04	-0.01	0.00	-0.05	-0.03	-0.03	-0.02	0.12	0.46	-0.06	0.03	0.14	0.02	0.01	0.02	-0.03	-0.01	-0.03	-0.03
32 Hexun CSR	0.30	0.18	0.19	0.23	0.03	0.05	-0.02	0.01	0.20	0.07	0.20	-0.07	0.44	0.12	-0.03	-0.04	-0.06	-0.01	-0.01	-0.07

	21	22	23	24	25	26	27	28	29	30	31	32
21 Founder Age												
22 Founder 1st born	0.15											
23 Successor' age	0.50	0.05										
24 Son Successor	0.16	0.05	-0.15									
25 Daughter Successor	0.82	-0.06	0.11	-0.17								
26 Tenure	0.74	-0.08	0.35	-0.10	0.81							
27 Success kids	0.15	-0.05	0.16	0.03	0.20	0.20						
28 R&D	-0.09	0.01	-0.11	-0.08	0.05	0.00	-0.02					
29 MA Value	-0.06	-0.03	-0.01	0.00	-0.02	-0.01	-0.03	0.04				
30 Asset growth	-0.03	0.02	-0.02	0.00	0.00	-0.01	0.00	0.04	-0.06			
31 Capital expenditure	-0.08	0.00	-0.04	-0.02	-0.01	-0.05	-0.02	-0.01	0.07	0.14		
32 Hexun CSR	0.00	-0.02	0.02	0.03	-0.04	0.00	-0.01	-0.07	0.04	-0.05	0.07	

Online Appendix Table 2. E, S, G and Succession Stages

This table reports additional analyses breaking down the aggregate ESG component by E, S, and G separately. E, S, G components are industry median adjusted. Detailed variable definitions are in the Appendix. All regressions include firm and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)	(5)	(6)
Dep. Var.:	E		S		G	
Successor_Stage1	0.551*		0.917**		1.320***	
	(1.69)		(2.01)		(3.45)	
Successor_Stage2	1.140**		0.901		0.784	
	(2.04)		(1.23)		(1.12)	
Post succession		-0.524		-1.248		-2.453**
		(-0.81)		(-1.30)		(-2.24)
Firm Size	0.561***	0.943**	1.900***	2.069***	1.070***	-0.027
	(2.77)	(2.00)	(7.12)	(3.35)	(4.05)	(-0.04)
Firm Growth Rate	-0.151*	-0.274*	-0.390***	-0.709**	-0.413***	-0.507***
	(-1.75)	(-1.88)	(-2.85)	(-2.15)	(-3.62)	(-2.95)
Cash Flow	0.709	1.401	-0.939	-2.290	-3.963***	-1.569
	(0.89)	(0.92)	(-0.78)	(-0.92)	(-3.92)	(-0.98)
Leverage	-0.845	-1.095	0.087	5.209***	-7.230***	-7.526***
	(-1.31)	(-0.73)	(0.09)	(2.84)	(-7.16)	(-4.11)
ROA	-1.682	-0.682	3.345**	11.071***	2.415	4.186
	(-1.63)	(-0.28)	(2.20)	(3.78)	(1.56)	(1.52)
Family Control%	0.005	0.038*	-0.015	-0.035	0.031**	0.033
	(0.42)	(1.85)	(-0.94)	(-1.20)	(2.05)	(0.95)
Independent Board	-2.162	-0.642	-5.174**	-8.823*	4.364**	7.858*
	(-1.27)	(-0.18)	(-2.04)	(-1.79)	(2.02)	(1.91)
Dual	-0.234	0.260	-0.434	0.700	-0.075	0.058
	(-0.93)	(0.65)	(-1.38)	(1.10)	(-0.27)	(0.09)
Firm Age	1.518	4.299**	-2.267	-5.212	-3.780***	-4.739**
	(1.34)	(2.17)	(-1.49)	(-1.64)	(-3.08)	(-1.98)
CEO Gender	0.077	0.222	-0.193	0.919	1.087**	1.477**
	(0.19)	(0.30)	(-0.32)	(0.82)	(2.32)	(2.25)
CEO Age	0.177	-1.458	1.043	-0.260	-0.094	0.415
	(0.27)	(-1.63)	(1.07)	(-0.18)	(-0.10)	(0.26)
Market to Book	0.022	0.076	0.045	0.137	0.047	-0.080
	(0.86)	(1.08)	(0.94)	(1.25)	(1.19)	(-0.79)
Firm & Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	9,735	2,676	9,735	2,676	9,735	2,676
R-squared	0.016	0.018	0.019	0.047	0.094	0.093

Online Appendix Table 3. Propensity Score Matching

This table reports the first stage (Panel A) and the matching quality (Panel B) for the propensity score matching.

Panel A. First Stage Regression Result

Dep. Var.	Success
Size	0.106***
	(3.20)
Firm Growth Rate	0.033
	(0.77)
Leverage	0.316*
	(1.81)
ROA	-0.761
	(-1.64)
Family Control %	0.025***
	(14.00)
Independent Board	-3.042***
	(-5.47)
Dual	-0.078
	(-1.27)
Firm Age	0.157*
	(1.82)
Founder Age	13.105***
	(48.07)
Industry & Year FE	Yes
Observations	12,382
Pseudo R-squared	0.382

Panel B. Variable Differences: Treated vs. Control

Variable	Treated	Control	Treated-Control	t
Size	21.792	21.811	-0.019	-0.54
Firm Growth Rate	0.232	0.249	-0.017	-0.78
Leverage	0.385	0.388	-0.003	-0.43
ROA	0.042	0.042	0.000	0.15
Family Control %	41.047	41.045	0.002	0.00
Independent Board	0.371	0.371	0.001	0.39
Dual	0.299	0.297	0.002	0.14
Firm Age	2.778	2.788	-0.010	-0.86
Founder Age	4.074	4.079	-0.006*	-1.77

Online Appendix Table 4. Other Robustness

Panel A. Alternative definitions of family firms

This table reports robustness tests for the succession stage-ESG relationship using alternative definitions of family firms. Detailed variable definitions are in the Appendix. All regressions include firm and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)	(5)	(6)
Dep. Var.: ESG	Control>10%		Control>30%		Control>50%	
Successor_Stage1	1.383***		1.947***		2.551***	
	(3.10)		(3.32)		(3.05)	
Successor_Stage2	1.455*		1.522*		1.355	
	(1.83)		(1.68)		(0.97)	
Post Succession		-2.250**		-2.962**		-1.864
		(-2.01)		(-2.56)		(-0.83)
Firm Size	2.019***	1.489**	2.271***	2.161**	2.282***	2.820*
	(6.71)	(2.06)	(5.48)	(2.52)	(3.59)	(1.93)
Firm Growth Rate	-0.632***	-0.832***	-0.633***	-0.640**	-0.877***	-0.453
	(-5.43)	(-3.29)	(-3.86)	(-1.99)	(-3.54)	(-0.91)
Cash Flow	-2.593**	-1.662	-1.345	-2.295	0.625	0.819
	(-2.24)	(-0.88)	(-0.91)	(-0.95)	(0.29)	(0.27)
Leverage	-6.706***	-4.159*	-7.078***	-8.459***	-4.642**	-9.290**
	(-6.38)	(-1.94)	(-5.33)	(-2.95)	(-2.43)	(-2.34)
ROA	2.986*	7.891***	4.080*	9.510***	7.522*	4.486
	(1.93)	(2.90)	(1.77)	(2.65)	(1.92)	(0.63)
Family Control%	0.021	0.013	0.030	0.012	0.006	-0.042
	(1.17)	(0.31)	(1.38)	(0.27)	(0.11)	(-0.51)
Independent Board	1.569	4.655	1.376	-0.864	2.600	5.323
	(0.73)	(1.01)	(0.50)	(-0.18)	(0.61)	(0.70)
Dual	-0.311	0.892	-0.184	1.044	0.821	2.961*
	(-0.98)	(1.34)	(-0.44)	(1.26)	(1.18)	(1.95)
Firm Age	-2.795*	-2.996	-3.086	-2.349	-2.086	1.755
	(-1.71)	(-0.99)	(-1.41)	(-0.70)	(-0.62)	(0.30)
CEO Gender	0.286	1.257	0.568	2.213*	1.783	1.372
	(0.49)	(1.12)	(0.76)	(1.71)	(1.59)	(0.66)
CEO Age	0.537	-1.563	0.036	-0.221	-2.750	-5.469
	(0.53)	(-0.90)	(0.03)	(-0.11)	(-1.16)	(-1.42)
Market to Book	0.012	-0.086	-0.042	0.022	-0.047	0.210
	(0.26)	(-0.71)	(-0.59)	(0.12)	(-0.38)	(1.27)
Firm & Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	10,819	2,821	7,343	2,133	3,090	986
R-squared	0.079	0.073	0.085	0.087	0.101	0.110

Panel B. Ordered Logit Regressions with ESG Ranks

This table reports robustness tests for the succession stage-ESG relationship using ordered logit regressions, with ESG ranks as the dependent variable. Detailed variable definitions are in the Appendix. All regressions include firm and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)	(5)
		Pre-Succession Stage		Post Succession Stage	All stages combined
Dep. Var.: ESG Rank	Successor vs. no successor	Stage1, Stage2 vs. no successor	Stage1 vs. Stage2 only	Post- vs. pre-succession stage	
Successor	0.622***				
	(3.23)				
Successor_Stage1		0.622***			0.646***
		(3.15)			(3.31)
Successor_Stage2		0.618*	-0.443		0.404
		(1.82)	(-1.32)		(1.24)
Post Succession				-0.818**	-0.349
				(-2.07)	(-0.74)
Firm Size	0.766***	0.766***	0.217	0.299	0.790***
	(6.21)	(6.21)	(0.80)	(1.22)	(6.62)
Firm Growth Rate	-0.244***	-0.244***	-0.206**	-0.268***	-0.257***
	(-4.96)	(-4.97)	(-2.53)	(-3.42)	(-5.48)
Cash Flow	-1.020**	-1.010**	-1.137*	-1.107*	-1.030**
	(-2.29)	(-2.27)	(-1.82)	(-1.89)	(-2.36)
Leverage	-2.367***	-2.396***	-1.564*	-1.184	-2.317***
	(-5.53)	(-5.61)	(-1.96)	(-1.57)	(-5.53)
ROA	1.872***	1.850***	3.205***	3.628***	1.967***
	(2.88)	(2.85)	(2.85)	(3.86)	(3.18)
Family Control%	0.012*	0.012*	0.008	0.009	0.013*
	(1.69)	(1.69)	(0.55)	(0.68)	(1.81)
Independent Board	1.596	1.558	1.828	1.484	1.515
	(1.64)	(1.61)	(1.08)	(0.95)	(1.59)
Dual	-0.137	-0.134	0.308	0.250	-0.133
	(-1.01)	(-1.00)	(1.13)	(1.10)	(-1.03)
Firm Age	-1.418**	-1.229*	-0.485	-0.581	-1.396**
	(-2.01)	(-1.81)	(-0.42)	(-0.56)	(-2.04)
CEO Gender	0.010	0.011	0.205	0.091	-0.071
	(0.05)	(0.05)	(0.59)	(0.28)	(-0.31)
CEO Age	-0.021	-0.026	-0.615	-0.361	-0.164
	(-0.05)	(-0.07)	(-0.96)	(-0.63)	(-0.42)
Market to Book	0.014	0.015	0.026	0.007	0.013
	(0.83)	(0.86)	(0.70)	(0.20)	(0.76)
Firm & Year FE	Yes	Yes	Yes	Yes	Yes
Observations	9,736	9,736	2,444	2,676	9,968

Panel C. Hexun CSR

This table reports robustness analysis using Hexun CSR rating as the dependent variable. Detailed variable definitions are in the Appendix. All regressions include firm and year fixed effects. Standard errors are clustered by firm and t-values are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

Dep. Var.: ESG	(1) Successor vs. no Successor	(2) Stages 1&2 vs no successor	(3) Stage 1 vs. Stage 2	(4) Post vs Pre-succession stage	(5) All stages combined
Successor	1.540**				
	(2.46)				
Successor_Stage1		1.626**			1.665***
		(2.53)			(2.64)
Successor_Stage2		1.017	0.269		1.103
		(0.93)	(0.20)		(1.07)
Post Succession				-1.926	-1.563
				(-1.11)	(-0.93)
Firm Size	3.168***	3.165***	5.287***	5.276***	3.323***
	(6.57)	(6.57)	(4.62)	(4.76)	(6.81)
Firm Growth Rate	0.668***	0.668***	0.248	0.234	0.623***
	(3.60)	(3.60)	(0.59)	(0.56)	(3.33)
Cash Flow	4.476**	4.481**	7.046**	7.563**	4.742***
	(2.46)	(2.46)	(1.97)	(2.26)	(2.63)
Leverage	-2.309	-2.320	-1.310	-2.203	-2.570*
	(-1.59)	(-1.60)	(-0.36)	(-0.62)	(-1.75)
ROA	66.382***	66.379***	65.068***	67.093***	66.911***
	(22.08)	(22.09)	(8.16)	(10.19)	(22.86)
Family Control%	0.021	0.022	0.012	0.032	0.026
	(0.85)	(0.86)	(0.23)	(0.61)	(1.00)
Independent Board	2.434	2.490	11.460	9.077	2.565
	(0.68)	(0.69)	(1.19)	(0.97)	(0.72)
Dual	-0.133	-0.116	0.084	0.424	-0.067
	(-0.30)	(-0.26)	(0.08)	(0.44)	(-0.16)
Firm Age	0.986	1.007	4.396	7.232	2.118
	(0.38)	(0.39)	(0.91)	(1.62)	(0.84)
CEO Gender	2.019**	2.006**	3.726**	2.488*	1.889**
	(2.22)	(2.21)	(2.55)	(1.71)	(2.10)
CEO Age	-0.754	-1.071	0.924	-0.530	-1.255
	(-0.51)	(-0.71)	(0.28)	(-0.20)	(-0.85)
Market to Book	0.070	0.071	0.167	0.072	0.067
	(0.98)	(0.98)	(0.99)	(0.33)	(0.89)
Firm & Year FE	Yes	Yes	Yes	Yes	Yes
Observations	9,336	9,336	2,374	2,597	9,559
R-squared	0.238	0.238	0.239	0.265	0.245